

Condensed Consolidated Statement of Comprehensive Income	31-Mar-14	Group 31-Mar-13 (Restated)	% Change
Kshs '000			
Revenue	144,672,477	124,287,856	16.4%
Other income	126,625	197,888	(36.0%)
Direct costs	(51,963,714)	(47,173,851)	10.2%
Other expenses	(31,892,090)	(28,072,654)	13.6%
Earnings before interest, taxes, depreciation and amortisation (EBITDA)	60,943,298	49,239,239	23.8%
Depreciation, impairment and amortisation	(25,787,231)	(22,139,045)	16.5%
Net financing cost	(186,946)	(1,639,951)	(88.6%)
Share of associate profit / (loss)	15,309	(9,678)	258.2%
Profit before taxation	34,984,430	25,450,565	37.5%
Income tax expense	(11,966,890)	(7,910,755)	51.3%
Total comprehensive income for the period	23,017,540	17,539,810	31.2%

Attributed to:			
Equity holders of the Company	23,017,540	17,539,810	31.2%
Basic and diluted earnings per share (EPS)	0.57	0.44	29.6%
Proposed dividend	18,830,751	12,400,000	51.9%
Proposed dividend per share (DPS)	0.47	0.31	51.6%

Condensed Consolidated Statement of Financial Position	31-Mar-14	Group 31-Mar-13	% Change
Kshs '000			
Capital Employed			
Share capital (including share premium)	4,203,311	3,850,000	9.2%
Retained earnings	68,201,917	64,015,128	6.5%
Proposed dividends	18,830,751	12,400,000	51.9%
Shareholders Funds	91,235,979	80,265,128	13.7%
Non current borrowings	5,102,380	12,000,000	(57.5%)
	96,338,359	92,265,128	4.4%
Represented by			
Non current assets	106,279,478	103,500,133	2.7%

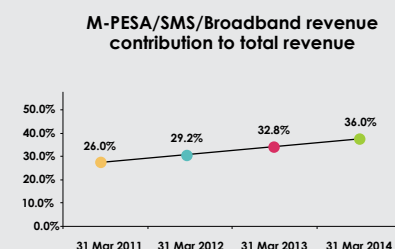
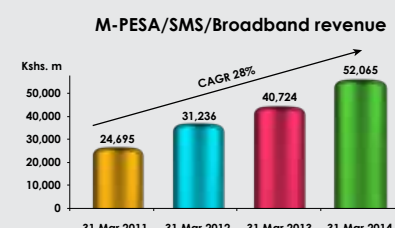
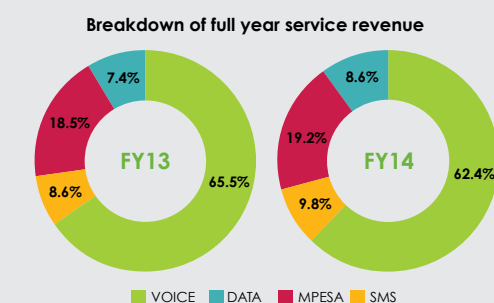
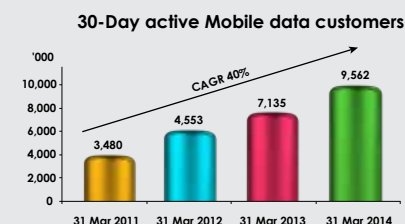
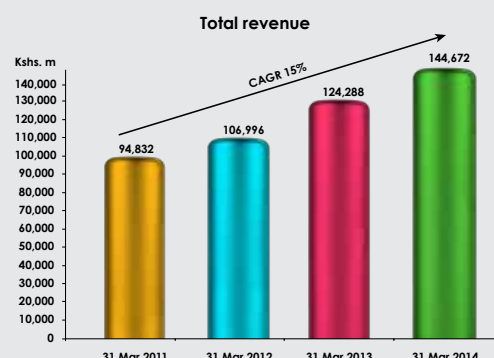
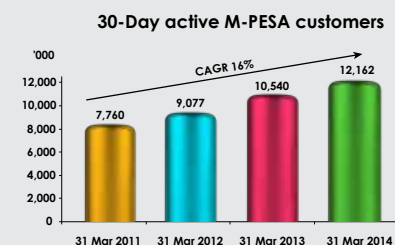
Current assets:			
Inventories	2,955,967	2,234,294	32.3%
Receivables and pre-payments	7,746,617	8,124,808	(4.7%)
Cash and cash equivalents	17,618,884	14,996,922	17.5%
	28,321,468	25,356,024	11.7%
Current Liabilities:			
Payables and accrued expenses	29,473,060	27,825,322	5.9%
Current income tax	1,276,527	537,749	137.4%
Borrowings	7,513,000	8,227,958	(8.7%)
	38,262,587	36,591,029	4.6%
Net current liabilities	(9,941,119)	(11,235,005)	(11.5%)
	96,338,359	92,265,128	4.4%

Condensed Consolidated Statement of Cash Flows	31-Mar-14	Group 31-Mar-13	% Change
Kshs '000			
Operating activities			
Cash generated from operations	62,913,283	46,486,321	35.3%
Net interest paid	(354,767)	(1,451,683)	(75.6%)
Income tax paid	(11,425,327)	(5,903,893)	93.5%
Net cash from operating activities	51,133,189	39,130,745	30.7%
Investing activities	(28,851,960)	(25,361,304)	13.8%
Financing activities	(19,659,267)	(7,580,577)	159.3%
Net movement in cash and cash equivalents	2,621,962	6,188,864	(57.6%)
Movement in cash and cash equivalents			
At start of year	14,996,922	8,808,058	70.3%
Increase	2,621,962	6,188,864	(57.6%)
At end of the period	17,618,884	14,996,922	17.5%

The above selected financial data has been extracted from audited financial statements which have been audited by PricewaterhouseCoopers.

Key highlights for the year ended 31 March 2014

- Customer numbers have increased by 11.1% to 21.57m as at March 2014 from 19.42m as at March 2013
- Mobile data customers who were active in the last 30 days increased by 34.1% to 9.56m as at March 2014 from 7.13m as at March 2013
- M-PESA customers who were active in the 30 days grew by 15.4% to 12.16m as at March 2014 compared to 10.54m as at March 2013
- Total revenue increased by 16.4% to Kshs 144.67bn compared to Kshs 124.29bn in a similar period ended March 2013
- Voice revenue increased by 11.6% to Kshs 86.30bn compared to Kshs 77.33bn in a similar period ended March 2013
- SMS revenue grew by 34.2% to Kshs 13.62bn compared to Kshs 10.15bn in a similar period ended March 2013
- Mobile data revenue increased by 40.6% to Kshs 9.31bn compared to Kshs 6.62bn in a similar period ended March 2013
- Fixed service revenue increased by 21.8% to Kshs 2.57bn compared to Kshs 2.11bn in a similar period ended March 2013
- M-PESA revenue grew by 21.6% to Kshs 26.56bn compared to Kshs 21.84bn in a similar period ended March 2013
- Non-voice service revenue (M-PESA/SMS/Broadband) increased to 36.0% of total revenues from 32.8% in a similar period ended March 2013
- EBITDA increased by 23.8% to Kshs 60.94bn compared to Kshs 49.24bn (Restated from Kshs 49.18bn) in a similar period ended March 2013
- Net income increased by 31.2% to Kshs 23.02bn compared to Kshs 17.54bn in a similar period ended March 2013
- Dividend payout is recommended to increase by 51.9% to Kshs 18.83bn compared to Kshs 12.40bn for the period ended March 2013



Commentary on results

The Board of Directors is pleased to announce the audited results for the year ended 31 March 2014. The same accounting policies and methods of computation have been used as were in the last financial statements. However, the presentation of expenses in the Consolidated Statement of Comprehensive Income was changed during the year from function to nature method introducing; Earnings before interest, taxes, depreciation and amortisation (EBITDA), a new performance measure. The comparatives in the Consolidated Statement of Comprehensive Income has been restated accordingly.

During the period there was an increase in the number of customers to 21.57m from 19.42m in the previous period. In order to support this growth, the Company continued to invest heavily in both the expansion and modernization of its 2G and 3G networks.

Capital expenditure for the period ended 31 March 2014 stood at Kshs 27.78bn (excluding acquisitions) to bring the total capital expenditure from inception to Kshs 242.92bn. To finance this expansion, the company has continued to reinvest a significant portion of internally generated cash.

Total borrowings as at 31 March 2014 stood at Kshs 12.61bn. Cash and cash equivalents stood at Kshs 17.62bn, leaving net cash of Kshs 5.01bn, up from net borrowing of Kshs 5.23bn for the period ended 31 March 2013.

Taxation

The Group continues to be the major contributor to the revenues of the Government and remitted Kshs 47.61 bn in duties, taxes and license fees for the year ended 31 March 2014. This increased the total duties, taxes and fees paid since inception to Kshs 290.94bn. This is in addition to the dividend payments of Kshs 21.03bn for the Government shareholding (includes proposed dividend for this financial year).

Dividends

The Directors recommend for approval the payment of a dividend per share of Kshs 0.47 representing a total dividend payment of Kshs 18.83 bn. The dividend will be paid on or before 15 December 2014, subject to the shareholders' approval at the AGM.

Closure of Register

The register of members will be closed at the closure of business on 16 September 2014 for the purpose of determining shareholders' entitlement of dividend.

Annual General Meeting

The Annual General Meeting will be held on 16 September 2014.

By order of the board

Nicholas Nganga
Nicholas Nganga,
Chairman

Date: 12 May, 2014